

Icici Bank Limited vs Dharendra Kumar Singh on 5 September, 2024

IN THE COURT OF SHRI MUKESH KUMAR GUPTA
DISTRICT JUDGE (COMMERCIAL)-07, DISTRICT CENTRAL
TIS HAZARI COURTS, DELHI
CS (COMM.) 2485-2021
CNR No. DLCT01-009201-2021

DLCT01-009201-

ICICI BANK LTD,
Through Its Authorized Representative
Pankaj Jain.

Registered Office At:
near Chakli Circle, Old Padra Road,
Vadodara-390007, Gujarat.

Branch Office At:
E-3, Jhandewalan, New Delhi.

.....Plaintiff

Versus

Old Address:-
Dhirendra Kumar Singh
S/o Mr. Shyam Sunder Singh
R/o: H.No.34-B, Ground Floor, Laman Puri near Shitala Mata Mandir,
Uttam Nagar, Delhi-1100059.

New Address:-
Dhirendra Kumar Singh
S/o Mr. Shyam Sunder Singh
Designation: Manager, Emp ID-4961
C/o. Bhageera Construction Pvt. Ltd.
1-2, First Floor, Arya Samaj Road, Uttam Nagar, New Delhi-110059

..... Defendant

Digitally
signed by
MUKESH

MUKESH KUMAR
KUMAR GUPTA

CS (COMM)-2485/2021

ICICI BANK LTD. VS. DHIRENDRA KUMAR SINGH

GUPTA Date:
2024.09.05
16:53:00

SUIT FOR RECOVERY OF RS.5,32,195/-

Date of institution of suit	: 24.07.2021
First date before the court	: 28.03.2024
Date of hearing final argument	: 04.09.2024
Date of Judgment	: 05.09.2024

Appearance (s): Mr. Kush Kumar, Ld. Counsel for the plaintiff.
: None for defendant (exparte).

JUDGMENT (Exparte)

1. By way of present judgment (exparte) I shall conscientiously adjudicate upon the suit of Plaintiff-Bank for recovery of Rs.5,32,195/- alongwith interest thereon @ 24% per annum pendente lite and future from the date of filing of the suit till its realization. The plaintiff has also prayed for costs of the suit.

2. The concise facts as averred in the plaint are that the plaintiff is a body corporate incorporated under the Indian Companies Act, 1956 and is having its registered office near Chakli Circle, Old Padra Road, Vadodara-390007, Gujarat and its branch office at E-3, Jhandewalan, New Delhi-110055. The present case relates to Jhandewalan Branch of the plaintiff bank represented by its authorized representative namely Mr. Pankaj Jain stated to be empowered to sign, institute and prosecute the suit and do all such acts and deeds on behalf of the plaintiff-Bank. The plaintiff has, however, later substituted its Authorized Representative, as prayed and allowed vide orders of the Court dated 23.08.2023. Accordingly, Mr. Sunil Chaudhari was substituted as Authorized Representative of the plaintiff-Bank.

3. It has been averred in the plaint that the defendant approached and requested the plaintiff bank for grant of personal loan of Rs.5,00,000/-. CS (COMM)-2485/2021 ICICI BANK LTD. VS. DHIRENDRA KUMAR SINGH 2/ 10 MUKESH KUMAR GUPTA KUMAR Date:

GUPTA 2024.09.05 16:53:04 +0530 The defendant agreed to abide by the terms and conditions applicable at the time of execution of loan documents and upon assurance by the defendant that he shall make the payment regularly as per the repayment schedule, the plaintiff-Bank sanctioned the loan amount of Rs.5,00,000/- and disbursed an amount of Rs.4,77,799/- to the defendant vide loan account no.LPDEL00040967324 on 22.10.2019 after deducting process fee and other charges. The defendant agreed to pay the said loan amount in 36 equated monthly installments of Rs.16,864/- each alongwith interest as per the repayment schedule. However, the tenure of repayment of EMIs was extended to 44 EMIs due to Covid-19 pandemic situation. Defendant pursuant to the sanction of the aforesaid loan amount, failed to adhere to the financial discipline of the repayment and payment of EMIs became irregular.

4. Repeated requests, reminders and notices were sent by and on behalf of the plaintiff-Bank from time to time, requesting and advising the defendant to clear outstanding loan amount, but the defendant completely failed and neglected to pay the same. The plaintiff-Bank then recalled the Loan Facility available to the defendant by way of sending Recall Notice dated 30.01.2021 demanding from him to pay the whole outstanding amount. Defendant failed to make the payment against dues, despite repeated calls and demand notice and hence, the plaintiff-Bank has come up with the present suit for Recovery of total outstanding amount of Rs.5,32,195/- due as on 28.06.2021 plus future and pendente lite interest @ 24% per annum, from the date of filing of the present suit till realization along with costs of the suit.

5. Summons for Settlement of Issues were issued against the defendant but he could not be served through ordinary process. The CS (COMM)-2485/2021 ICICI BANK LTD. VS. DHIRENDRA KUMAR SINGH 3/ 10 Digitally signed by MUKESH MUKESH KUMAR KUMAR GUPTA Date:

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defendant was finally served by way of substituted service through publication in newspapers 'The Statesman' and 'Rashtriya Sahara' vide order dated 23.08.2023 of Ld. Predecessor of this court. The Publication was carried out in newspapers 'The Statesman' and 'Rashtriya Sahara' , dated 05.09.2023. However, since the defendant failed to file the Written Statement within the statutory period, his right to file the Written Statement was forfeited vide order dated 30.01.2024 of the Ld. Predecessor of the court. Further, since none appeared on behalf of defendants during the course of proceedings, the defendants were proceeded against exparte vide order dated 28.03.2024.

6. Plaintiff in support of its case got examined its Authorized Representative namely, Mr. Sunil Chaudhari, whose deposition has been tendered as PW1. In plaintiff evidence, PW1 has tendered his chief- examination by way of affidavit relied upon as Ex.PW1/A. The witness reiterated the averments made in the plaint and deposed that he is authorized to depose before the Court vide Power of Attorney executed by the Plaintiff-Bank in his favour which is tendered as Ex. PW1/1 (OSR). He also tendered the Power of Attorney executed by the plaintiff bank in favour of earlier A.R Mr. Pankaj Jain as Mark 'X'.

7. PW1 has testified that defendant availed the Personal Loan Facility from the Plaintiff-Bank for which he approached and requested the plaintiff-Bank for grant of personal loan in his favour, for a sum of Rs.5,00,000/- vide Personal Loan Application Form and Credit Facility Application Form duly proved as Ex.PW1/2 and Ex.PW1/3. The plaintiff-Bank after due verification and details, sanctioned the loan amount of Rs.5,00,000/- and disbursed the amount of Rs.4,77,799/- to the defendant vide loan account bearing no.LPDELO0040967324 on CS (COMM)-2485/2021 ICICI BANK LTD. VS. DHIRENDRA KUMAR SINGH 4/ 10 Digitally signed by MUKESH MUKESH KUMAR KUMAR GUPTA Date:

2024.09.05 16:53:12 +0530 22.10.2019. The said loan was to be paid in 36 EMIs of Rs.16,864/-

each. However, the tenure of repayment of EMIs was extended to 44 EMIs due to Covid-19 pandemic situation. Defendant failed to comply with the terms and conditions of the aforesaid Loan Agreement and failed to pay the outstanding amount upon which the plaintiff-Bank issued a Loan Recall Notice dated 30.01.2021 tendered as Ex.PW1/7 upon the defendant calling upon him to repay the outstanding amount. Despite notice, defendant neither replied the notice nor paid the outstanding dues. The witness has tendered the postal receipt as Mark 'Y'. The witness has further deposed that as per statement of account dated 28.06.2021 Ex.PW1/4 maintained by the plaintiff-Bank, the defendant is liable to pay a sum of Rs.5,32,195/-. As the defendant failed to make the payment despite repeated calls and legal notice, present Suit for Recovery of total outstanding amount of Rs.5,32,195/-, due as on 28.06.2021, plus accrued interest, has been filed on behalf of plaintiff. Statement of account has been relied upon as Ex.PW1/4. The requisite Certificate U/s. 65B of the Indian Evidence Act, 1872 is tendered as Ex.PW1/5. The requisite Certificate Under Section 2A of Banker's Book Act, 1891 is tendered as Ex.PW1/6.

8. The plaintiff bank did not examine any other witness and vide statement dated 03.07.2024, the plaintiff's evidence was closed.

9. Submissions of the Ld. Counsel for the plaintiff have been heard and the entire record including the pleadings, documents and evidence on record has been appreciated. The defendant did not appear upon service, either in person or through pleader. No written statement has been filed. Defendant was proceeded ex parte vide order dated 03.07.2024. During Digitally CS (COMM)-2485/2021 ICICI BANK LTD. VS. DHIRENDRA KUMAR SINGH signed by 5/ 10 MUKESH MUKESH KUMAR KUMAR GUPTA GUPTA Date:

2024.09.05 16:53:16 +0530 the pendency of the suit, defendant never appeared to challenge the testimony of the plaintiff witness.

10. At the outset, the court shall take up the issue of limitation which is a legal issue, which the court is required to determine for the purpose of deciding the entitlement of plaintiff to the relief claimed. As per Section 3 of the Limitation Act, 1963, any suit, application or appeal has to be filed within the period of limitation as prescribed under the schedule annexed to the Limitation Act and subject to provisions contained in Section 4 to 24. This has to be done irrespective of the fact whether limitation has been set up as a defence or not. It is a settled proposition of law that law of limitation is a law of repose, peace and justice which bars the remedy after the lapse of particular period by way of public policy and expediency. Reliance is placed on AIR 1991 Kerala 83 Craft Centre vs. Koncherry Coir Factories. It may be seen that the present suit is for recovery of amount outstanding against the defendant in respect of personal loan sanctioned by the plaintiff bank to the defendant pursuant to Persona Loan Application Form and Credit Facility Application Form dated 22.10.2019. Defendant failed to discharge his liability and defaulted in making the regular EMIs. Defendant has made payment of EMI of Rs.16,864/- on 05.03.2020 lastly and the next EMI was due on 05.04.2020. As such, as per article 19 of the Limitation Act, a fresh period of limitation commences once payment is made on account of debt due and the payment so made by the defendant by way of cheque is towards part of the total outstanding. Once the payment is made towards the part payment of total outstanding due alongwith the acknowledgment of such payment, Section 19 of the

Limitation Act, 1963 comes into play whereby a fresh period of limitation starts on payment having been made and acknowledged in writing and under the CS (COMM)-2485/2021 ICICI BANK LTD. VS. DHIRENDRA KUMAR SINGH 6/ 10 Digitally signed by MUKESH MUKESH KUMAR KUMAR GUPTA GUPTA Date:

2024.09.05 16:53:20 +0530 signature viz by a cheque towards the part of outstanding dues. Reliance are placed on RFA 144/2004 M/s. Narayangarh Sugar Mills Ltd. vs. Krishna Malhotra, decided by Hon'ble High Court of Delhi on 12.03.2012 and CS(OS)No.1177/2003 Ms. Veena Jain vs. Sunil Sood, decided by Hon'ble High Court of Delhi on 23.07.2012. In this case, the defendant has made payment of EMI of Rs.16,864/- lastly on 05.03.2020 and the present suit was filed on 24.07.2021. Therefore, applying the ratio of the aforesaid judgments and as per article 19 of the Limitation Act, 1963, the present Suit having been filed on 24.07.2021 is well within the period of limitation as per law.

11. The present suit has been filed on behalf of the plaintiff based on outstanding amount shown in the Prepayment/Foreclosure Letter and Statement of Account Ex.PW1/4 showing an outstanding balance of Rs.5,60,523.38ps, duly supported with Certificate U/s. 65-B of the Indian Evidence Act, 1860 and the Certificate under section 2A of Banker's Book of Evidence Act, 1891 which have been duly proved as Ex.PW1/5 and Ex.PW1/6 respectively. Hence, the plaintiff bank has filed the present suit for recovery of Rs.5,60,523.38ps after excluding the prepayment charges of Rs. 28,328.38ps which the plaintiff bank is not claiming. As per the case of plaintiff bank, the defendant has failed to pay the said amount of Rs.5,32,195/- which is due and pending against the defendant. The loan recall notice dated 30.01.2021 has been relied upon as Ex.PW1/7 and postal receipt has been relied upon as Mark-Y. It is the deposition of the plaintiff witness that despite the aforesaid, defendant has failed to pay the outstanding amount leading to filing of the present suit.

Digitally signed by CS (COMM)-2485/2021 ICICI BANK LTD. VS. DHIRENDRA KUMAR SINGH MUKESH 7/ 10 MUKESH KUMAR KUMAR GUPTA GUPTA Date:

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12. The onus to prove the averments and claim of the plaintiff rests entirely upon the plaintiff who has to discharge the burden of proof to establish its case, as per law. In civil litigation, it is sufficient for the plaintiff to discharge the burden laid upon it successfully, if the plaintiff is able to prove its case by preponderance of probabilities. It is the law of land as re-affirmed by the Hon'ble Apex Court in Adivappa V. Bhimappa (2017) 9 SCC 586. Hon'ble Supreme Court of India in Adivappa (supra) was pleased to uphold that:

"It is a settled principle of law that the initial burden is always on the plaintiff to prove his case by proper pleadings and adequate evidence (oral and documentary) in

support thereof."

Thus, the onus to prove its case and that the burden to prove the case as per law entirely lies upon the plaintiff, by way of documentary and oral evidence.

13. The present suit has been filed on behalf of plaintiff bank, on the basis of Personal Loan Facility granted by the plaintiff in favour of the defendant, in regular course of banking business. In such cases, documentary evidence is of paramount importance as there is continuity of maintenance of account maintained in the ordinary course of its business. Hence, it is a matter of settled practice for public financial institutions to maintain regular and proper accounts against each and every customer account. Accordingly, the court has meticulously scrutinized the evidence, document and statement of account tendered through the sole testimony of PW1.

Digitally signed by MUKESH CS (COMM)-2485/2021 ICICI BANK LTD. VS. DHIRENDRA KUMAR SINGH MUKESH KUMAR 8/ 10 KUMAR GUPTA GUPTA Date:

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14. Now, the court has to see as to whether the plaintiff bank justifiably raised the outstanding against the defendant. It may be seen that upon appreciation of documentary evidence, plaintiff placed reliance on Statement of Account and prepayment letter vide Ex.PW1/4(colly). As per the said Foreclosure and Statement of Account proved on record as Ex.PW1/4(colly), the total outstanding balance of Rs.5,60,523.38ps including principal outstanding balance of Rs.4,80,142/-, interest component on pending installment as Rs.44,427/- and Rs.28,328.38/- towards prepayment charges @ 5.9% on outstanding principal besides other charges was due against the defendant as on 28.06.2021. However, the plaintiff bank is not claiming a sum of Rs.28,328.38ps which the plaintiff bank has charged towards the prepayment charges. The Statement of Account has been duly accompanied by Certificate U/s. 65- B of the Indian Evidence Act, 1860 Ex.PW1/5 and Certificate under section 2A of Banker's Book of Evidence Act, 1891 Ex.PW1/6.

15. During the examination of PW1, a court question was put to the witness, as to whether any payment was made by the defendant during the pendency of the suit. To which, the witness has answered that nothing has been paid by him to the plaintiff bank towards his loan amount during the pendency of the present suit. Accordingly, the defendant is indebted with an outstanding principal amount of Rs.4,80,142/- as principal amount and other ancillary charges including check bouncing charges of Rs.4,720/-. However since the loan was foreclosed on 30.01.2021, the plaintiff shall not be entitled to interest on pending installments or the interest for the month of January, 2021. Thus, the amount of Rs.2,906/- and Rs.44,427/- is required to be deducted from the total amount claimed. As such, the plaintiff shall be entitled to a recovery of Rs.4,84,862/- against the defendant. The CS (COMM)-2485/2021 ICICI BANK LTD. VS. DHIRENDRA KUMAR SINGH 9/ 10 Digitally signed by MUKESH MUKESH KUMAR KUMAR GUPTA GUPTA Date:

2024.09.05 16:53:31 +0530 testimony of PW1 remained unchallenged and unrebutted, as such there is no reason for the court to disbelieve the same except the

fact that the amount as discussed above is required to be deducted. The plaintiff bank has been able to prove its case to the extent of preponderance of probabilities.

16. In view of the above, the plaintiff bank is accordingly entitled to a decree for a sum of Rs.4,84,862/-, against the Defendant. The Plaintiff Bank shall also be entitled to interest @ 6% per annum on the decretal amount pendente lite and future from the date of filing of the suit till the date of its realization. Reliance placed on Pt. Munshi Ram @ Associates (P) Ltd. V. DDA, 2010 SCC Online Delhi 2444.

17. In the specific facts and circumstances of the case, Plaintiff Bank shall also be entitled to costs of the suit throughout against the Defendant.

18. Decree Sheet be prepared accordingly.

19. File be consigned to record room after due completion.

Pronounced in Open Court Digitally signed by MUKESH today on this 5th September, 2024
MUKESH KUMAR GUPTA KUMAR Date:

GUPTA 2024.09.05 16:53:37 +0530 (Mukesh Kumar Gupta) District Judge
(Commercial Court) -07 Central District, THC, Delhi/05.09.2024 'rk' CS
(COMM)-2485/2021 ICICI BANK LTD. VS. DHIRENDRA KUMAR SINGH 10/ 10